

THE INVESTigator

A monthly newsletter published by Swap Global Ventures Pvt. Ltd., Nagpur

Vol 18 No.5

August 2021

Are you keeping your investments secret?

Keeping your investments secret or unknown to your family members may cost you very dearly. More than Rs 80000 Cr of investor wealth is lying idle in unclaimed accounts. Just see the data and decide yourself.

- ❖ Rs 18381 Cr lying in unclaimed bank accounts.
- ❖ Rs 15167 Cr lying unclaimed with insurance companies.
- ❖ Rs 17886 Cr lying in inactive mutual fund folios.
- ❖ Rs 4100 Cr of unclaimed dividend lying in Investor Education & Protection Fund (IEPF).
- ❖ Rs 26497 Cr lying unclaimed in PF accounts.
- ❖ The value of shares transferred to IEPF by various companies is still unknown.

So, what is the solution?

- ✓ Always invest with a joint holder or appoint a nominee at the time of investing.
- ✓ Please keep your family informed about your finances. Give to a responsible family member, access to your email id, passwords, etc.
- ✓ Register the same email id and mobile number in all your investments, deposits, insurance policies, demat account, etc.
- ✓ Keep your Deposits in one or two banks. If you keep in many branches of multiple banks you are making way for unclaimed deposit.
- ✓ Keep your trading and demat account with one or two brokers. Finally shift to one. Do visit your broker office, bank branch and maintain relationship. In the event of eventuality, they will inform and help your family.
- ✓ *Never invest on your own. Pay a small fee and remain with your advisor. In the event of mishap, your advisor will help your family and get the process of transmission done for you.*
- ✓ Create a Will. The concept of Will is not that popular in India. This bulletin will shortly cover in detail, in one of its issues, the entire process of making and registering a Will.

The stock market is a device for transferring money from the impatient to the patient.

- Warren Buffett

Which is the best date for SIP?

This is one of the questions frequently put forward by investors. Some other similar questions are:

- Is there a best day or date for SIP every month?
- What is the best time in a month to invest in SIP?
- Can SIP investing on particular dates lead to higher returns?

There are many investors, who do SIP for obvious benefits of SIP, but have their own theories regarding best SIP dates. Some investors feel it is better to invest during start of the month. Some others spread their SIP dates across the month i.e. 5th, 10th, 15th, 20th, etc. of the month. While some investors are of the view that last few days of the month are more rewarding.

Various analysts and research groups have done a thorough study on historical returns of SIP done on different dates of a month. ***They have found that the difference in returns is so small that it is not worth noting.***

Once for all it should be made clear that there is no SIP date advantage as such. The basic premise on which the whole concept of SIP is built is rupee-cost averaging. That's it.

Then how should investor choose SIP date in a month?

Simple. On the day of SIP, investors' account should have sufficient funds. Considering this criterion, every investor, whether he is salaried, self-employed or professional, should choose the date suitable to him.

5 Benefits of SIPs



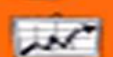
Lighter on the wallet



Makes market timing irrelevant



Enables rupee-cost averaging



Benefits from power of compounding



Helps in goal planning

DISCLAIMER: The views expressed here cannot be construed to be a decision to invest. The statements / articles contained herein are based on current views and involve known & unknown risks and uncertainties. Swap Global Ventures Pvt Ltd. or its officers / directors shall have no responsibility or liability whatsoever for the accuracy or any use or reliance thereof of such information.

Mutual Fund investments are subject to market risks, read all scheme related documents carefully.

SWAP
GLOBAL VENTURES

SWAP Global Ventures Pvt. Ltd.

AMFI Registered Mutual Fund Distributor

VCA Complex, Civil Lines, NAGPUR – 440 001

0712-6641166/67, 9372693725

Email : swapconsultants@yahoo.com Website: www.swapglobalventures.com